swords with India Office officials during the Depression and had also disagreed with Taylor and Grigg on the return on the shares of the Reserve Bank. Grigg and Taylor favoured a 3.5 percent return on shares of the RBI to ensure full subscription at all the centres but Smith thought that a 3 percent return was adequate. The RBI *History* (1935–1951) speaks of the traditional conflict between professional bankers and civil servants. Both Grigg and Taylor belonged to the ICS and in the 1913 examination, Grigg had stood first and Taylor a close second. Both knew each other well and given their pedigree, it is no surprise that they formed a perfect team. Smith had the full support of Montagu Norman, something which Grigg was well aware of when he commented in a letter to Stewart that Smith had the 'colossal vanity of a Mussolini, to the manufacture of which Norman has contributed a great deal… which means that he can't really work on equal terms.'[10] As the Managing Governor of the Imperial Bank, Smith was keen to maintain the independence of the bank and had complained about pressures from the government and the Secretary of State and how 'anyone would assume that the Imperial was a department and a very inconspicuous department of government.'[11] Unconscious of the toes he was stepping on, he had put his foot down saying that he would not be 'run by London or anywhere else.'[12]

The charges against Smith related not to his technical competence but to his character, views, and temperament. Grigg's inquisitorial watchfulness over Smith had commenced when his appointment was still under consideration. The first hints of Smith's erratic temperament and alcoholism emerged when Grigg met him in Bombay. He wrote to Stewart about how he 'found him rather less of a tough than he had been led to suppose' and 'he is now on the water wagon which may lessen the frequency of his berserk rages.'[13] Still, it appears Grigg supported Smith for Governor largely because of his views on the rupee-ratio question, for long the litmus test of economic and political soundness. Smith, who had been against the 1s 6d rates, believed the controversy to be dead unless the devaluationists wished to revive it once more. But Grigg continued to harbour apprehensions about Smith's temperament and wrote to Stewart that he (Smith) 'will give us all the jumps from time to time' but if outside 'would give us not the jumps but fits.'[14] It is pertinent to note that at no stage did